



**Letter of Understanding between the Asian Development Bank and UNICEF for
Collaboration in Pakistan**

Following negotiations between the Asian Development Bank (ADB) and UNICEF in Pakistan, both parties agreed to areas of collaboration and synergy in Water Supply, Sanitation, and Hygiene (WASH) interventions in Punjab, Pakistan and in documenting the collaboration hereunder.

1. The collaboration will be within the framework of:

For ADB: the Developing Resilient Environment and Advancing Municipal Services (DREAMS)” project primarily targeting two cities, Rawalpindi and Bahawalpur. More specifically, collaboration will include support for a reform agenda at the provincial level and for testing and piloting the reforms in the two project cities. The reforms will help strengthen institutional capacity for service delivery in WASH and solid waste management (SWM), and will overall aim to improve the quality, coverage, efficiency, and reliability of these services, for residents and businesses, and contribute to climate change resilience and decarbonization. The project comprises 3 outputs:

- a. Output 1: Climate-resilient water supply infrastructure and services provided in Rawalpindi. This output will build new water supply systems and water supply networks using surface water resources.
- b. Output 2: Low-carbon, integrated solid waste management services implemented in Bahawalpur. The output will upgrade the existing SWM system in Bahawalpur through a holistic approach.
- c. Output 3: Institutional and capacity development for climate resilience, gender inclusiveness, and sustainability improved.

For UNICEF: the UNICEF Pakistan’s Water, Sanitation, Hygiene, Climate, Environment & DRR (WASH & CED) Programme, which directly contributes to the United Nations Sustainable Development Cooperation Framework (UNSDCF) 2023-2027 Basic Social Services and Climate Change outcomes. Specifically, the programme is providing the people in Pakistan, especially the most vulnerable and deprived, with increased and equitable access to water, sanitation and hygiene services and supports the reduction of risks due to climate change and environmental degradation.

- d. UNICEF will complement the DREAMS project by providing technical support in the following key interventions:
 - o **Systems Strengthening:** Update of Climate Risk Informed Diagnostic Study and Roadmap of Rawalpindi WASA in the context of Local Government Act 2022, WASH Policy and proposed legislative framework, including water and sanitation safety planning.

- **Behaviour Change and Communication Strategy Reforms:** Extend support for development of a gender responsive Social and Behaviour Change Communication Campaign for improving behaviors and practices related to solid waste management in Bahawalpur in Southern Punjab and water supply and sanitation in Rawalpindi.
- e. Depending on available resources, UNICEF could provide additional technical support for subsequent phases of the DREAMS project in Punjab or to other projects under development in Pakistan.

2. The close synergies between the ADB's DREAMS project outputs and UNICEF's WASH & CED Programme present a significant opportunity for complementarity. The collaboration holds the potential to enhance the impact of programmes, ultimately leading to positive outcomes in water, sanitation, and hygiene, benefiting communities in Pakistan. This Letter of Understanding will come into force on the day it is signed by both Parties and will remain in force until the end of December 2025, unless otherwise agreed. This Letter of Understanding may be renewed at the end of its term.

On behalf of ADB

The Asian Development Bank Pakistan



Yong Ye
Country Director, Pakistan
Date: 05 March 2024

On behalf of UNICEF

The United Nations Children's Fund



Abdullah Fadil
Representative, Pakistan
Date: 05 March 2024

Annex 1

UNICEF and Asian Development Bank Collaboration for WASH Programme in Punjab

Background:

Pakistan's cities are economic engines which generate 55% of its gross domestic product. Punjab, known as the breadbasket of Pakistan, is home to 53% of the country's total population and 53% of the total urban population. The province's population is expected to grow from 110 million (49% women and 51% men) in 2017 to about 179 million by 2040. By 2040, approximately 42% of its population will be living in urban areas, compared to 37% in 2017. The rapid growth of Punjab's urban population (2.74% per annum) and severe infrastructure deficits from lack of investment especially in basic water supply and solid waste management (SWM) services is placing a tremendous strain on its cities. Inadequate infrastructure and limited capacity to manage the basic municipal services are causing major health risks and environmental degradation and compounding the negative effects of climate change. In Punjab, only about 36% of the urban population has access to safely managed drinking water, with the poor and vulnerable having the least access to piped water. Pakistan is one of the top 10 countries weakest in management of plastic waste in the Asia and Pacific region. Municipal solid waste (MSW) in Punjab amounts to around 18 million tons per year, with only half of the waste collected. Waste is largely burned or openly dumped, which leads to poor living conditions, health hazards, uncontrolled greenhouse gas (GHG) emissions, environmental pollution, and reduced economic potential.

The Government of Punjab under Project Readiness Financing (PRF) from Asian Development Bank has prepared a programme, primarily targeting seven cities. Under this initiative, the government of Punjab is envisaging for a "Developing Resilient Environment and Advancing Municipal Services (DREAMS)" project in two cities i.e., Rawalpindi and Bahawalpur, and reforms agenda at the provincial level, while testing and piloting the reforms in these two cities to strengthen institutional capacity for service delivery in WASH and solid waste management to improve quality, coverage, efficiency, and reliability of these services, for residents and businesses, contributing to climate change resilience and decarbonization.

Scope:

DREAMS aims to improve urban environments, living conditions, protect natural ecosystems, mitigate climate change and build sustainable, resilient and low-carbon municipal services in Punjab cities. Additionally, it explores opportunities for public-private partnerships, provides capacity development programs and aims to develop the first Circular Economy Strategy for Punjab. Based on the infrastructure conditions and institutional capacities, DREAMS is divided into two phases: DREAMS-I and II. The criteria for this phasing include climate resilience and environmental impact, financial stability, available institutional arrangements and the infrastructure and its gaps. DREAMS-I project primarily aims to overhaul municipal services in the cities of Bahawalpur and Rawalpindi. Its objectives include improving waste management services in Bahawalpur by establishing an Integrated Solid Waste Management system, thereby increasing efficiency and reducing environmental hazards, and enhancing water supply services in Rawalpindi by rehabilitating and expanding the current infrastructure and developing new water sources.

Project Outcome:

The project will achieve sustainable, resilient in transition to low-carbon municipal services in Punjab cities. It will improve urban environments, health, and living conditions, while protecting natural ecosystems and mitigating climate change impacts. Additionally, the project will enhance institutional and capacity development for climate resilience, gender inclusiveness, and self-sustainability of the institutions.

Output 1: Climate-resilient water supply infrastructure and services provided in Rawalpindi. This output will build new water supply systems and water supply networks using surface water resource. It will include (i) construction of new surface water intakes and water treatment plant (WTP) of 12 MGD at Chahan Dam, transmission main and distribution pipes to serve continuous water to 82,000 households with metered connections in 8 new union councils in southwest part of Rawalpindi, powered by renewable energy source from the 20 MW solar panels—NRW will be managed under 20%; (ii) upgrading of water pumps and transmission mains to augment water supply to the city from surface water resource Rawal (5 MGD) and Khanpur dams (8.6 MGD)—NRW will be reduced to 45% through system improvement, more metered connections and paid customers to R-WASA's network; and (iii) establishment of 3 pilot district metering area (DMA) with supervisory control and data acquisition (SCADA) system to ensure climate-smart 24/7 pressurized water supply with metered connections to the Khayaban-e-Sir Syed area, comprising of 11,000 household in 3 union councils. To mitigate environmental pollution from untreated discharge of sewage, the output will also include a detailed review and update of the sector master plan for wastewater and drainage system for the city and assistance in the preparation of feasibility study and detailed engineering designs for future intervention.

Output 2: Low-carbon, integrated solid waste management services implemented in Bahawalpur. The output will upgrade the existing SWM system in Bahawalpur through a holistic approach, including: (i) procurement of waste collection equipment and new fleet to expand service to complete city coverage and progressive extension of paid door-to-door collection (at least 40% by 2028); (ii) piloting waste segregation at source in 1 union council and 2 mobile waste banks; (iii) establishment of a combined transfer station and material recovery facility for the processing of recyclable materials; (iv) construction of a new flood-proof engineered landfill (3,400,000 cubic meters), with engineering measures and onsite operation to mitigate emissions of GHG and leachate; (v) closure and remediation of the existing dump site; and (vi) procurement of a management information system based on geographic information system and global positioning system, providing real-time information on waste collection trips.

Output 3: Institutional and capacity development for climate resilience, gender inclusiveness, and sustainability improved. This output will support the implementation of the operational plans and business models of R-WASA and B-WMC, prepared under the PRF, to improve operational efficiency, inclusivity, and financial sustainability. A roadmap for institutional reform, including a new gender-responsive water, sanitation, and hygiene (WASH) policy to align with the National Water Policy 2018 and Punjab Water Act 2019, SWM policy, strengthening and operationalization of Punjab's existing legal framework on municipal service delivery, and tariff reform (including volumetric billing in metered areas), has been drafted and will be implemented during the proposed project. A structured capacity development program will be designed to improve the skills of R-WASA and B-WMC, including on climate risk-informed planning and O&M, volumetric tariffs and cost-recovery, financial and asset management, procurement, behavioral change and communication (BCC) campaigns, and enhancing women's participation in municipal service

delivery. The utilities' service and performance standards will be developed and monitored through an independent performance monitoring system. Output 3 will be supported by the institutional development consultants, as well as complementary WASH and BCC activities to be carried out by United Nations Children's Fund (UNICEF). R-WASA will receive trainings on NRW. Management and benefit from water operator partnership to be supported by the attached with the additional water supplied and improved quality of service, a targeted awareness raising program will be devised and rolled out to attract more paying customers to connect to R-WASA's network and reduce commercial losses (illegal connections) and groundwater abstraction (pumping from own tube wells). B-WMC and communities in Bahawalpur will be introduced to key principles of circular economy, particularly reduce, reuse, recycle, and recover (4R) and segregation at source, and the importance of incorporating the informal sector in SWM.

The Project (DREAMS) requires implementing the roadmap of policy and legal reforms, and institutional/organizational strengthening of the relevant authorities/agencies engaged in regulating and providing services in water supply, sewerage, and solid waste management sector. The sectoral assessment will be undertaken through policy and legislative reforms. First, preparing and implementing a comprehensive WASH policy will improve access to safe drinking water, sanitation facilities and promote hygiene practices. It will address the emerging needs of the growing population and urban migration issues, ensure equitable distribution, strengthen institutional capacity, enhance collaboration and coordination among stakeholders, and attract investment from development partners and the private sector. Next, a provincial Solid Waste Management policy will be formulated and implemented to undertake integrated waste management in the province. Moreover, the existing regulatory framework regarding water supply, sewerage and solid waste management sectors in Punjab will be streamlined and strengthened to achieve self-sustainability through improvements in the existing legal frameworks i.e., Punjab Water Act 2019 and Punjab Local Government Act 2022.

Under DREAMS, to achieve the desired objectives of the Government of Pakistan under PRF, the Institutional Development, Capacity Building and Behavior Change Communication (IDC&BCC) technical support is required to implement the roadmap of institutional strengthening and legal reform, comprising of WASH policy, SWM sector strategy, tariff reform, and legal amendments required to implement these reforms over a period of two years' timeframe. Below are four key areas where interventions are being requested:

- 1) **Policy and Legislative Reforms:** Key four tasks are included i) Inception work to outline about understanding and procedures to carry on the assignment; ii) Baseline of Policy and Legislative Gaps by reviewing all existing acts and policies; iii) Stakeholders Consultation to seek their inputs around key policies and legislation and what changes require; and iv) Implementation of Policy and Legislative Reforms at the provincial and two cities level for scalability and replication.
- 2) **Institutional Reforms:** Key tasks will focus on i) Develop roadmaps for Institutional Framework and Organizational Design of R-WASA and B-WMC for service provision; and ii) Implementation of R-WASA and B-WMC Roadmap
- 3) **Capacity Building Reforms:** Key tasks will include training needs assessment, development of training courses, HRD framework for capacity development and delivery of training to the Relevant Authorities/Agencies. Building the capacity of R-WASA and B-WMC for operating & maintaining newly installed mechanised system for water supply and solid waste management.
- 4) **Behaviour Change and Communication Strategy Reforms: key tasks will include** i) Design of BCC Survey; ii) Designing of BCC Survey; iii) Preparation of BCC Strategy; iv) Preparation of Promotional Materials; and v) Implementation of BCC Trainings and Community Awareness Programs.

UNICEF's Water, Sanitation, Hygiene, Climate, Environment & DRR (WASH & CED) Program in Pakistan directly contributes to the United Nations Sustainable Development Cooperation Framework (UNSDCF) 2023-2027 Basic Social Services and Climate Change outcomes by providing the people in Pakistan, especially the most vulnerable and deprived with increased, equitable access to water, sanitation and hygiene services and supporting the reduction of risks due to climate change and environmental degradation. The programme also contributes directly to the Government of Pakistan Sustainable Development Goal 3, Good Health and Well-being: Ensure healthy lives and promote well-being for all at all ages. Goal 5, Goal 8, Decent Work and Economic Growth: Promote sustained, inclusive, and sustainable economic growth, full and productive employment, and decent work for all. Gender Equality Goal 11, Sustainable Cities and Communities Goal 12, Responsible Consumption and Production National Framework, Goal 6 – clean water and sanitation and Goal 13 - Climate Actions. The programme recognizes the challenges of scaling up more equitable coverage, ensuring sustainable operations and maintenance and achieving universal coverage of safely managed, climate resilient, inclusive WASH services. UNICEF's WASH & CED Programme in Pakistan is highly influenced by the increasing impacts on children of climate change. Climate change impacts in Pakistan are likely to include water scarcity; extreme heatwave events; frequent, widespread, and devastating floods; air pollution and accelerated spread of diseases especially in congested and polluted urban environments.

WASH & CED Programme Outcome:

By the end of 2027, people in Pakistan, especially vulnerable and marginalized, children and adolescents are using safely managed, equitable and climate resilient water, sanitation and hygiene services and are living in safe environment.

Output 1 (Systems strengthening)

By end of 2027, national and provincial systems are strengthened for provision of equitable, safely managed, climate resilient and gender responsive water, sanitation, and hygiene services.

UNICEF will contribute to creation of an enabling environment with improved conditions for Pakistan to have sustainable and climate resilient WASH services for all, with progressive reduction of inequalities. This programme component will aim to systematically strengthen five building blocks in the WASH sector: i) Legislation, policies, and strategies, ii) Institutional arrangements, iii) Sector Financing, including climate financing for children, iv) Sector Planning, monitoring, and review, v) Sector stakeholders' capacity development.

For creation of an enabling environment, UNICEF will contribute to promote four WASH sector collaborative work areas among stakeholders:

- i) Enhancing government leadership in WASH and Climate planning processes
- ii) Strengthening and using Pakistan's government systems
- iii) Promoting use of common information and mutual accountability platforms
- iv) Building sustainable WASH sector financing strategies.

Output 2 (Increased access to quality WASH services)

By the end of 2027, 7.5 million people in Pakistan, especially vulnerable and marginalised, children and adolescents are provided with sustained access to safely managed and

climate resilient water, sanitation, hygiene and behaviour change promotion services in communities and public institutions, including in development and humanitarian situations.

The key focus to achieve output 2 is on Elimination of Open defecation, Safely Managed Water and Sanitation Services, Reduced Inequality of Basic water supply coverage, WASH in Institutions (School and Health Care Facilities, Urban Water and Sanitation, Humanitarian Response, Social Norms and Behavioral Change (SNBC).

Output 3 (Climate Change, Environment and DRR)

By end 2027, governments at federal and Sub-national levels have developed and are implementing child-sensitive programmes (development and humanitarian) that address risks to children from climate change, including natural disasters and environmental degradation.

Support existing Climate Change initiatives of the Government of Pakistan Support Governments to address water scarcity and governance, Streamlining Climate change in the Education System, Youth engagement on climate change, ADAP and WASH-related green job creation for youth, Climate Risk Assessments, Resilience Creation and Risk Informed Programming.

The alignment between UNICEF's WASH Programme Outputs and the Asian Development Bank's DREAMS project in Punjab province, outputs present a significant opportunity for synergy and complementarity. By leveraging Social and Behavior Change Communication strategies, which can foster improved WASH behaviors and practices alongside other targeted interventions. The collaboration holds the potential to enhance the impact of both initiatives, ultimately leading to positive outcomes in water, sanitation, and hygiene, thereby benefiting communities in the country.

UNICEF WASH Programme Outputs	ADB DREAMS Project Outputs
Output 1 (System strengthening) By end of 2027, national and provincial systems are strengthened for provision of equitable, safely managed, climate resilient and gender responsive water, sanitation and hygiene services.	Output 3: Institutional and capacity development for climate resilience, gender inclusiveness, and sustainability improved. including a new gender-responsive Water, Sanitation and Hygiene (WASH) policy, gender responsive SWM sector strategy Develop new/improve existing WASH materials that effectively incorporate gender, disability, environment and social inclusion.
Output 2 (Increased access to quality services) By the end of 2027, 7.5 million people in Pakistan, especially vulnerable and marginalised, children and adolescents are provided with sustained access to safely managed and climate resilient water, sanitation, hygiene and behaviour change promotion services in communities and public institutions, including in development and humanitarian situations.	Output 1: Climate-smart water supply infrastructure and services provided to diversify water supply resources and upgrade the water supply network and its efficiency.
Output 3 (Climate change, environment and DRR) By end 2027, governments at federal and sub-national levels have developed and are implementing child-sensitive development and humanitarian programming that addresses risks to	Output 2: Low-carbon, integrated solid waste management services implemented through a holistic approach (end to end solution)

children from climate change, including natural disasters and environmental degradation.	
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UNICEF has been supporting the Government of Punjab on WASH Reforms for several years through support for an enabling environment and piloting different approaches. Key interventions include the development of WASH Sector Development Plan 2014-2024; WASH Chapter for Punjab Growth Strategy 2018; Punjab WASH Policy 2019; Climate Risk Informed Reforms for Rawalpindi WASA 2022; Clean Green Pakistan Index and Clean Green Punjab, Behavioural Determinants of Urban WASH study; WASH Human Resource Development Plan; and WASA Reforms and PHED Rationalisation studies 2017. Some components under DREAMS have overlaps with already completed and existing work, making it more pertinent for UNICEF engagement in this initiative to support DREAMS projects of the Government of Punjab and ADB in supplementing and complementing the Project.

UNICEF will complement by providing technical support in the following key interventions to achieve the desired objectives of DREAMS project.

- 1) **Systems Strengthening:** Revisit and Update Climate Risk Informed Diagnostic Study and Roadmap of Rawalpindi WASA in the context of Local Government Act 2022.

Behaviour Change and Communication Strategy Reforms: Extend support for developing a Gender responsive Social & Behaviour Change Communication Campaign for improving behaviours and practices about Solid Waste Management in Bahawalpur and Water Supply and Sanitation in Rawalpindi.

Coordination Structure

